
CLIFF
STUDIOS

MY STORY

How APA Began,

My name is Michael Mathias AKA Michael FXDGOAT , and this is the story behind the methodology you are about to learn.

I first heard about forex trading in 2024.

At that time, I didn't even have a phone of my own to start trading or properly study the market. But that did not stop me.

I started borrowing my friends' phones just to learn.

Whenever I had access to a phone, I would go on YouTube and other platforms and consume as much information as I could. I watched beginner trading content from different educators and traders, including TJR, Jeffrey Benson, Habby Forex, and many others.

I was studying.

I was observing.

I was trying to understand how the market worked.

But as I continued learning, I realized something:

What I was learning was not exactly what I was looking for.

This is not me saying those traders were wrong.

Not at all.

Their methods worked around the principles they believed in and taught their communities. But personally, I knew I needed something different.

I wanted to understand how I could approach the market with higher risk-to-reward opportunities.

A lot of what I was seeing revolved around taking trades around ratios such as 1:2 or 1:3.

And I kept asking myself:

“If I have a $10 account, how exactly am I going to scale that account significantly using only 1:2 or 1:3 opportunities?”

That question stayed in my head.
I knew I needed to develop a way of looking at the market that suited the kind of trader I wanted to become.

THE SEARCH FOR SOMETHING DIFFERENT

I began experimenting.
Instead of limiting myself to smaller risk-to-reward targets, I started studying ways of finding opportunities that could potentially offer 1:5, 1:10, and even 1:20 risk-to-reward ratios.
But I wasn't simply chasing large numbers.
I wanted to understand why certain moves happened.
I wanted to understand structure.
I wanted to understand liquidity.
I wanted to understand where price was likely to react.
And most importantly, I wanted to develop a framework that allowed me to identify opportunities with the kind of risk-to-reward profile I was looking for.
That process took time.
There were mistakes.
There were losses.
There were moments when I questioned whether what I was doing would actually work.
But I kept studying.
I kept testing.
I kept refining.
And eventually, I started developing my own way of looking at the market.

THE BIRTH OF APA(ADVANCED PRICE ACTION)

The name APA — Advanced Price Action — did not come from me claiming to have invented price action itself.

Price action has existed long before I entered the market.

What I did was take the principles I had learned, study them through my own experience, and advance them into a framework that made sense to me.

I began developing my own rules, my own way of identifying structure, my own way of locating Points of Interest, and my own approach to top-down analysis and execution.

That became what I now call APA.

APA became more than something I personally used on a chart.

It became a framework I could explain.

A framework I could document.

A framework I could share.

And eventually, a framework that other traders began studying alongside me.

FROM LEARNING TO SHARING

As I became more confident in the methodology, I started sharing my trades and analysis with other traders.

I created communities where people could follow my market analysis and observe how I approached different setups.

People began taking the trades alongside me.

And this became one of the most important parts of my journey.

Because teaching and explaining something forces you to understand it at a deeper level.

I couldn't simply say:

“I think price is going here.”

I had to explain why.

Why was this structure important?

Why was this liquidity important?

Why was this the Point of Interest?
Why was this trade valid?
Why was another trade invalid?
That process helped me refine APA even further.
WHY I WROTE THIS BOOK
This book is the result of that journey.
I didn't write it simply to give you another trading strategy.
I wrote it because I wanted to put the framework I've developed into one place—to give you something you can physically hold, study, revisit, and apply to your own chart analysis.
The chapters ahead will take you through the core concepts of APA:
Structure.
Point of Interest.
Top-Down Analysis.
Psychology.
These concepts work together.
One concept alone is not enough.
You can understand structure and still lose because of poor psychology.
You can understand liquidity and still enter at the wrong location.
You can have a good Point of Interest and still ruin the trade by abandoning your rules.
That is why APA is not simply about finding an entry.
It is about understanding the market and developing the discipline to wait for your conditions.

A MESSAGE TO THE READER

If you're reading this because you want to become rich overnight, this book is not going to promise you that.

Trading does not work that way.
There will be wins.
There will be losses.
There will be days when the market gives you exactly what you are looking for.
There will also be days when the best decision you can make is to do absolutely nothing.
What I want you to gain from this book is understanding.
I want you to look at a chart and stop seeing random candles.
I want you to start seeing structure.
I want you to understand liquidity.
I want you to recognize your Point of Interest.
I want you to understand the importance of top-down analysis.
And I want you to understand that none of those things matter if you cannot control your psychology.
THIS IS APA
I started this journey without even having my own phone.
I had to borrow someone else's phone just to learn.
I didn't have everything figured out.
I didn't have the perfect conditions.
But I had one thing:
I was willing to keep searching until I found an approach that made sense to me.
That search became a methodology.
That methodology became APA.
And now, you are holding the framework I've spent time developing, refining, and teaching.
Welcome to APA — Advanced Price Action.
Let's get into it. 🐐📖

APA

THE MICHAEL FXDGOAT METHOD

CHAPTER ONE

MARKET STRUCTURE

Before we talk about entries, Point of Interest, confirmations, or execution, there is one thing every APA trader must understand first:

STRUCTURE.

The market does not move randomly. Price is constantly creating movements, retracements, breaks, and reactions. To trade APA correctly, you must first understand what the market is currently doing and recognize when that behavior begins to change.

There are three major types of market structure:

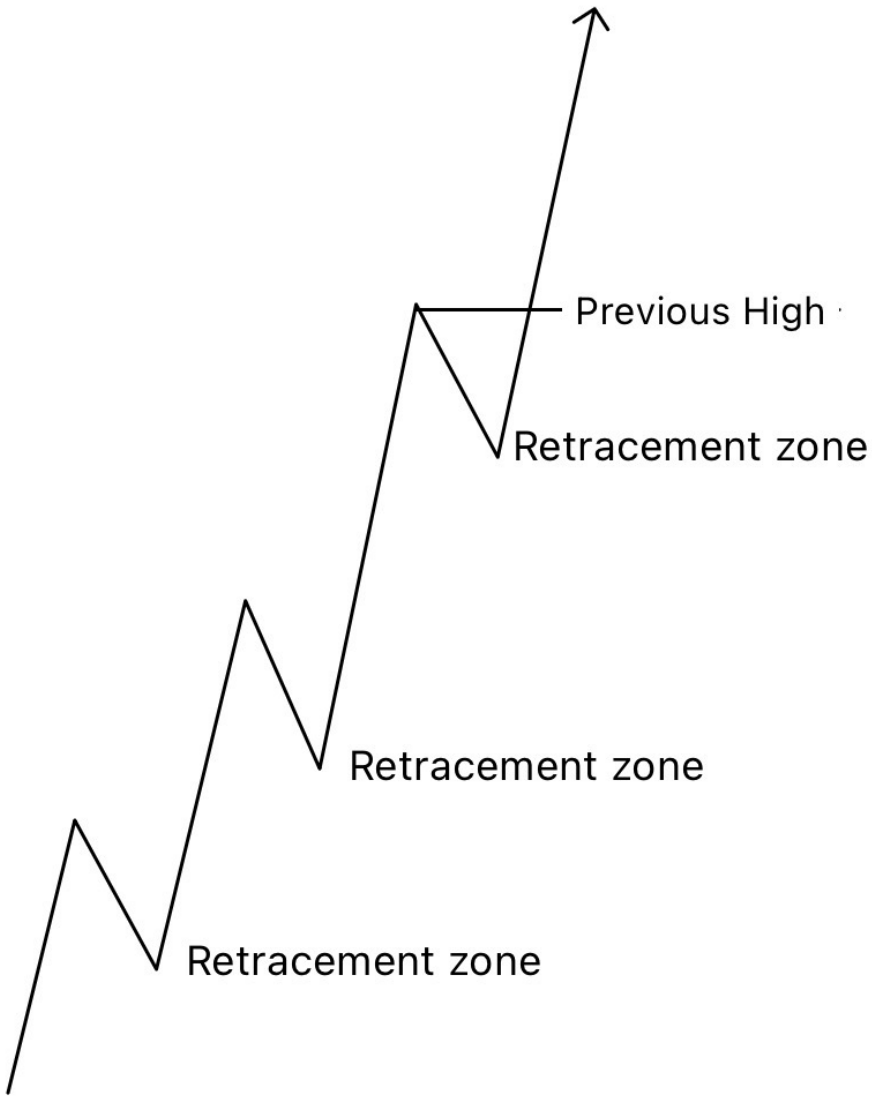
Uptrend

Downtrend

Ranging Market

Understanding these three structures is the foundation of the APA strategy.

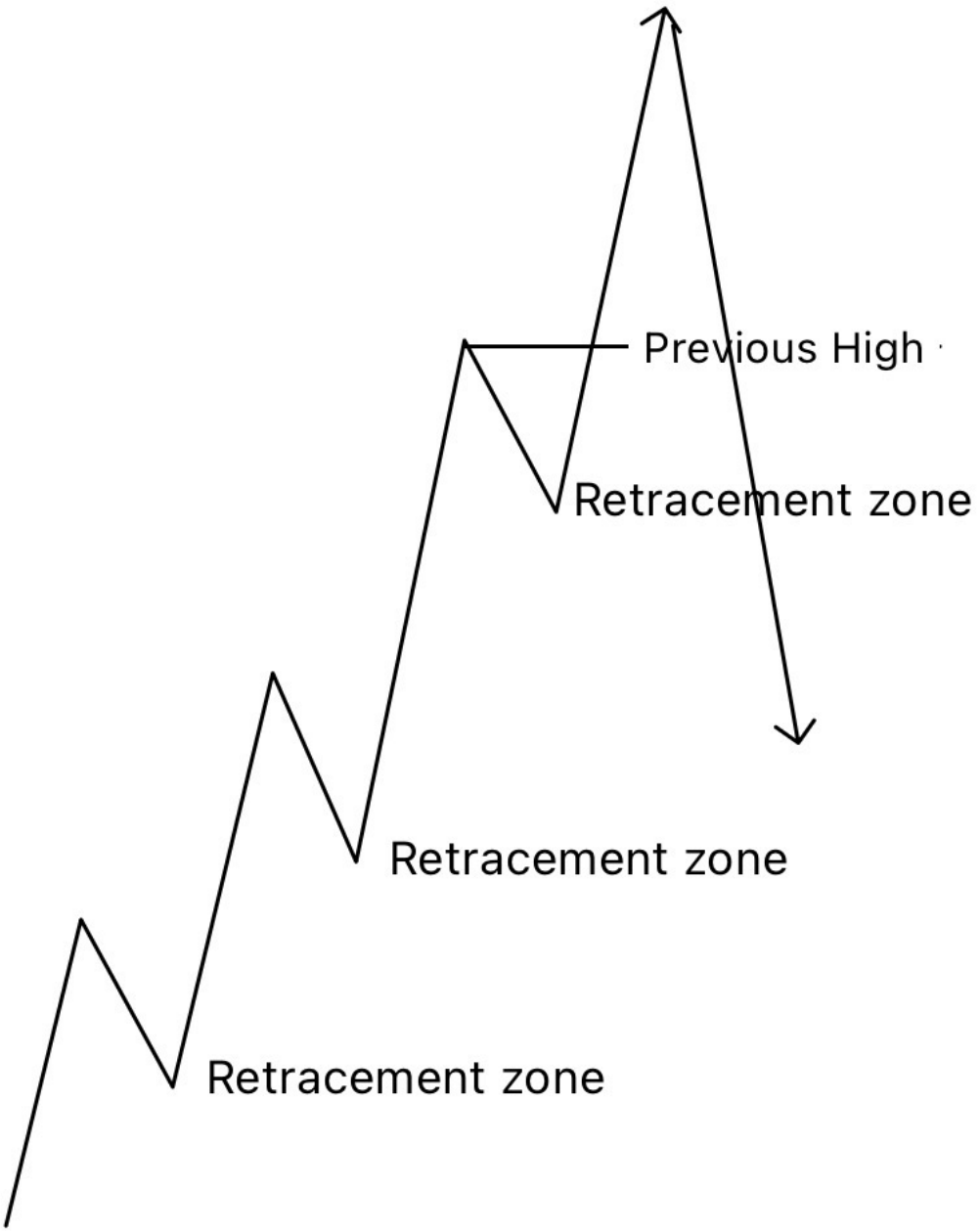
1. UPTREND



An uptrend is a market condition where price is consistently moving in an upward direction.
As price moves upward, it will naturally make retracements before continuing its movement. These retracements are important

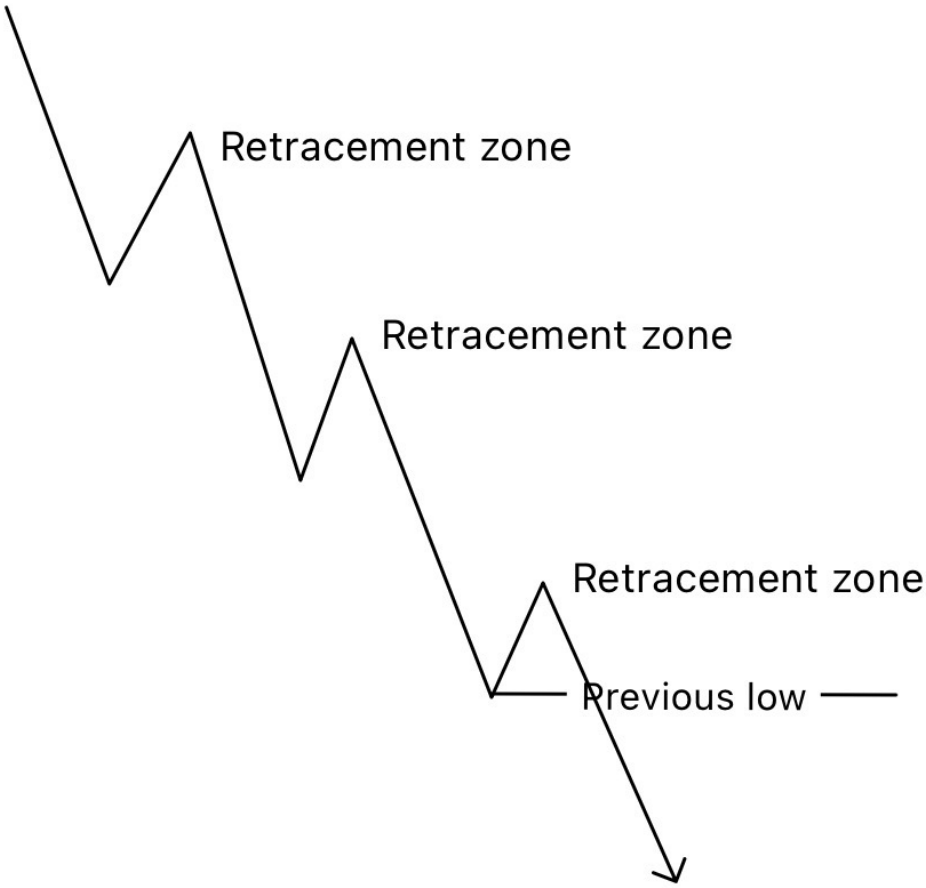
because they help us determine whether the bullish structure is still valid.
In a valid uptrend, the relevant retracement levels should not be violated.
As long as the market continues to respect these retracement levels, the bullish structure remains valid and we continue to recognize the market as an uptrend.
However, when price breaks a significant retracement level, we have to pay attention.
A broken retracement level tells us that the market may no longer be respecting its previous bullish structure.

Violated retracement



This is where our attention begins to change.

Instead of continuing to look only for buy opportunities, we begin to watch the market for a possible move to the downside.
A violation of a significant retracement level does not mean you immediately sell. It means you have a reason to start looking for what the market wants to do next.
The market must still show us its intention.
2. DOWNTREND



A downtrend is a market condition where price is consistently moving in a downward direction.
Just like an uptrend, a downtrend will also contain retracements as price moves.
For a downtrend to remain valid, its relevant retracement levels should continue to hold.

As long as price respects those levels, the bearish structure remains intact and we continue to recognize the market as a downtrend.
But when price breaks a significant retracement level, we begin to question the strength of the existing bearish structure.
That violation tells us that the market may be preparing to change its direction.
Instead of continuing to look only for sell opportunities, we begin watching for possible buying opportunities.
When a consistent downtrend violates a significant retracement level, we begin looking for opportunities to buy rather than continuing to sell with the previous structure.
Again, this does not mean that the moment the level is broken, you must immediately enter a buy.
The break is a signal to pay attention.
We wait and watch what the market wants to do next.
3. RANGING MARKET



The third type of market structure is the ranging market.
A ranging market occurs when price is moving within a defined area

instead of consistently trending upward or downward.
In a range, price moves between an upper boundary and a lower boundary.
Because there is no clear trend, our focus is on the boundaries of the range and what happens when price attempts to break away from them.
If price breaks the upper boundary of a ranging market with a valid breakout, we begin looking for buying opportunities.
If price breaks the lower boundary with a valid breakout, we begin looking for selling opportunities.
However, just like with trending markets, we do not consider every movement outside the range to be a valid breakout.
This brings us to one of the most important parts of APA structure.
WHAT MAKES A BREAKOUT VALID?
Not every break of a retracement level is considered a valid structural breakout in APA.
One of the key things we look for is the candlestick body.
When the market breaks a retracement level, the break should occur with the body of the candlestick, not simply with a wick.
Body Break = Valid Break
Wick Break = Not a Confirmed Structural Break
This distinction is extremely important.
A market can move beyond a retracement level with only a wick and then immediately return to its previous movement.
When this happens, the market may simply have gone beyond the level to take liquidity before continuing in its original direction.
Therefore, we do not automatically treat a wick as a genuine change of structure.
Instead, we pay attention to where the body of the candlestick breaks the level.
The body gives us stronger evidence that price has actually moved

beyond the structure rather than simply testing or sweeping it.

WICK BREAK VS. BODY BREAK

Imagine we have a consistent uptrend.

Price is respecting its retracement levels and continuing upward.

Eventually, price moves down and briefly goes below one of those levels.

If the candle only produces a wick below the level and then closes back above it, we do not immediately consider that a valid structural breakout.

Why?

Because the market may simply have taken liquidity below the level before continuing its original bullish movement.

The market can break a level with a wick and still react back into its previous movement.

But when the body of the candlestick breaks through the retracement level, the situation becomes different.

A body break tells us that the market is showing stronger evidence that it may no longer want to respect the previous structure.

This can be an indication that the market is beginning to change its character.

CHANGE OF STRUCTURE

A structural violation is important because it can tell us that the market is no longer behaving the way it was behaving before.

For example, if we have a consistent uptrend and price continues respecting every relevant retracement level, there is no reason to assume that the market has changed direction.

But once price produces a valid body break through a significant retracement level, we have a reason to become cautious about continuing to trade only in the original direction.

The same principle applies to a downtrend.

If price has been consistently moving downward and then produces

a valid body break through an important retracement level, we begin considering the possibility that buyers are taking control.
This is how APA uses structure to help us recognize a potential change in market behavior.

DO NOT ENTER JUST BECAUSE STRUCTURE BREAKS

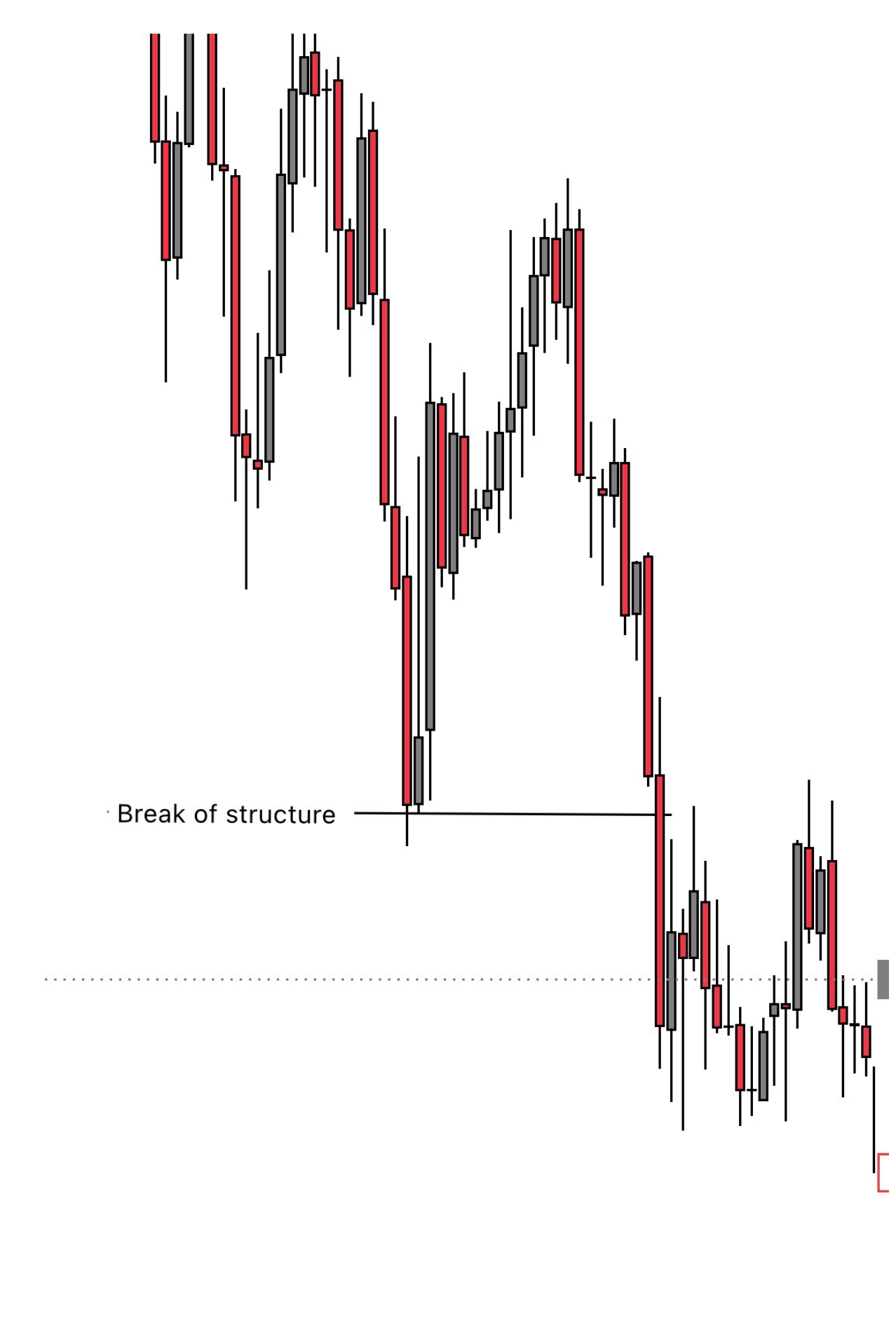
This is one of the most important rules to understand.
When a retracement level is broken, do not immediately jump into a trade simply because the level has been violated.
A structural break gives you information.
It does not automatically give you an entry.
If an uptrend produces a valid bearish structural break, your job is not to immediately sell.
Your job is to sit back and watch the market.
You want to understand what the market is trying to do.
The same applies when a downtrend produces a bullish structural break.
We do not simply see the break and immediately buy.
We begin watching the market for further information.
The break changes our attention; it does not force our entry.
This mindset is important because the market can sometimes create a break, react, and continue behaving differently from what we initially expected.
An APA trader must learn to observe before executing.

STRUCTURE AND LIQUIDITY

One reason we make a distinction between a wick and a body break is because of liquidity.
Price can temporarily move beyond a retracement level, take liquidity, and then return to its previous direction.
This is why a wick alone should not automatically convince you that

the market has changed structure.
For example:
Uptrend → retracement level → wick below level → price returns upward
This may simply be a liquidity movement.
But when we see:
Uptrend → retracement level → body breaks below level


Not a break of structure


Break of structure

we now have stronger evidence that the market may be changing its character.

The same principle applies in the opposite direction.

Understanding this difference prevents the trader from reacting emotionally to every temporary movement in price.

VALID BREAKOUT IN A RANGING MARKET

The same candlestick-body principle applies to ranging markets.

Suppose price has been moving inside a range for an extended period.

Eventually, the market attempts to break out.

If price breaks the upper boundary with a valid candlestick body, we begin looking for buying opportunities.

If price breaks the lower boundary with a valid candlestick body, we begin looking for selling opportunities.

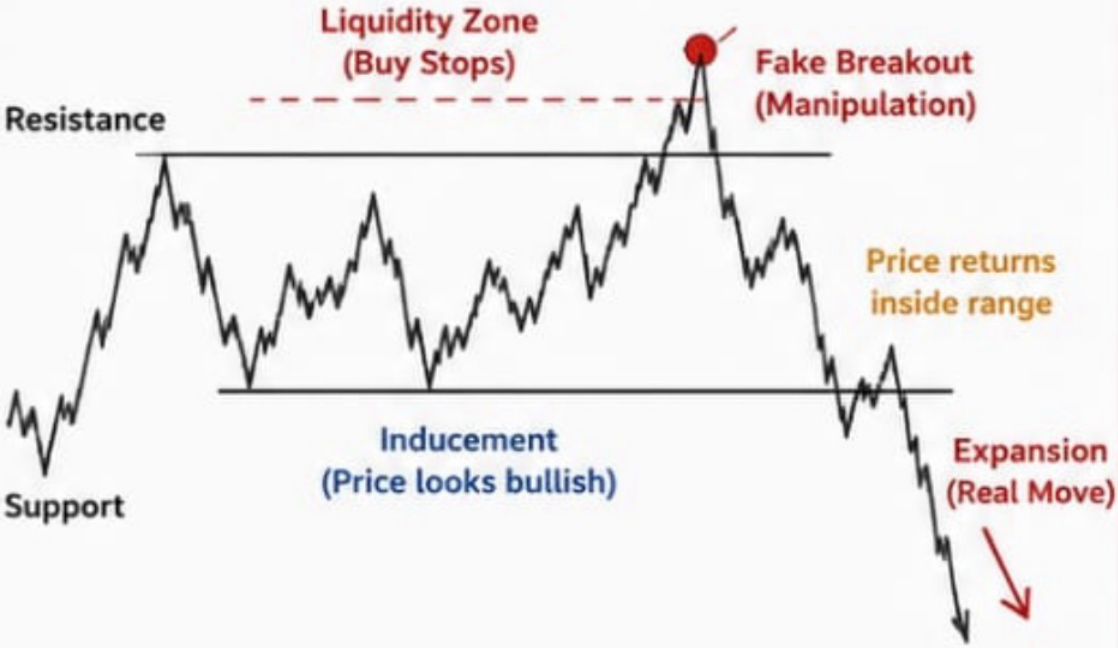
But if price only produces a wick outside the range and then returns inside, we do not immediately treat that movement as a confirmed breakout.

Again, the market may simply have taken liquidity outside the range.

Therefore, APA traders must learn to distinguish between a liquidity sweep and a valid breakout.

THE APA STRUCTURE PROCESS

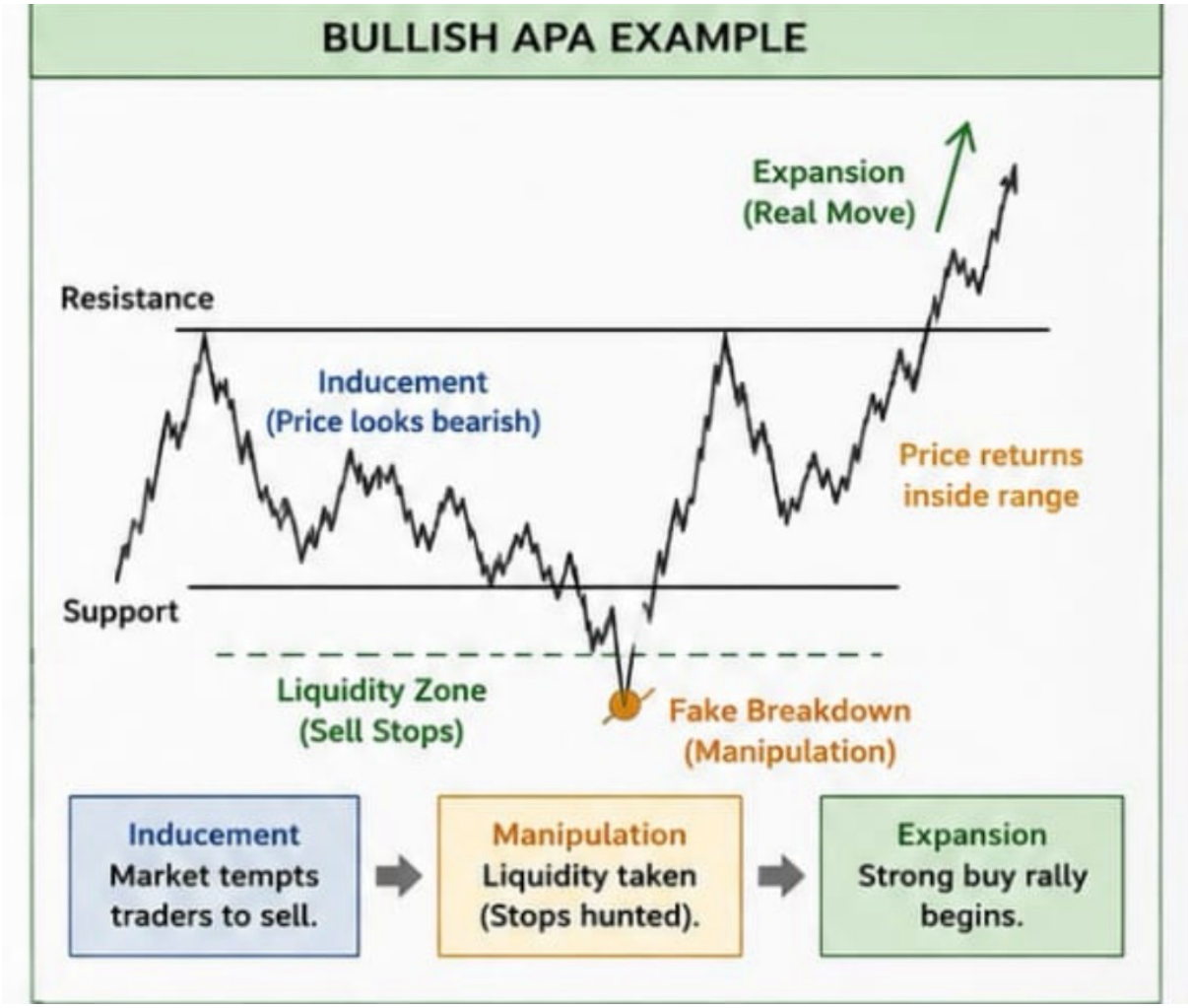
BEARISH APA EXAMPLE



Inducement
Market tempts traders to buy.

Manipulation
Liquidity taken (Stops hunted).

Expansion
Strong sell off begins.



The structure aspect of APA can therefore be summarized into a simple process:

STEP 1 — IDENTIFY THE MARKET CONDITION

Ask yourself:

Is the market in an uptrend, downtrend, or ranging market?

STEP 2 — IDENTIFY THE IMPORTANT LEVELS

If the market is trending, identify the relevant retracement levels maintaining the structure.

If the market is ranging, identify the upper and lower boundaries of the range.

STEP 3 — WATCH HOW PRICE REACTS

As price moves, observe whether the market continues respecting its structure.

If it does, the existing structure remains valid.

STEP 4 — WATCH FOR A VIOLATION

If price breaks an important retracement level or range boundary, pay attention.

But do not immediately assume that the market has changed.

STEP 5 — CONFIRM THE BREAK

Ask yourself:

Did the candlestick body break the level, or was it only a wick?

A wick alone is not treated as a confirmed structural breakout.

A body break provides the confirmation we are looking for.

STEP 6 — CHANGE YOUR DIRECTIONAL ATTENTION

If an uptrend produces a valid bearish structural break, begin looking for potential sell opportunities.

If a downtrend produces a valid bullish structural break, begin looking for potential buy opportunities.

If a range breaks upward with a valid body breakout, begin looking for buy opportunities.

If a range breaks downward with a valid body breakout, begin looking for sell opportunities.

STEP 7 — WAIT

Most importantly:

Do not force an entry.

The structural break tells you to pay attention.

Now you must watch the market and wait for the next part of the APA strategy.

That next part is where we begin identifying the Point of Interest (POI).

THE GOLDEN RULE OF APA STRUCTURE

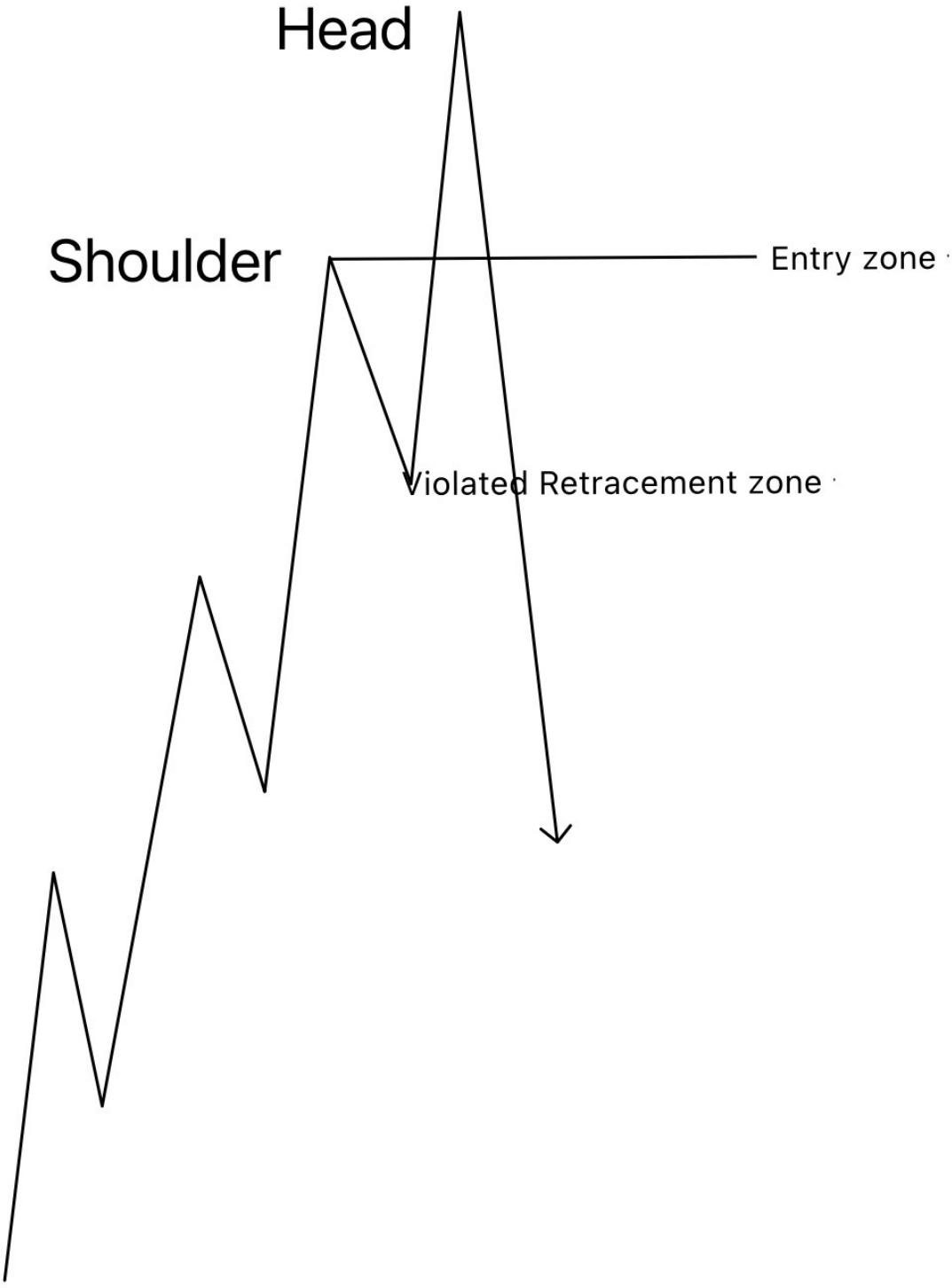
Respect the structure until the structure is validly broken.

A trend is not considered changed simply because price temporarily moves beyond a level.

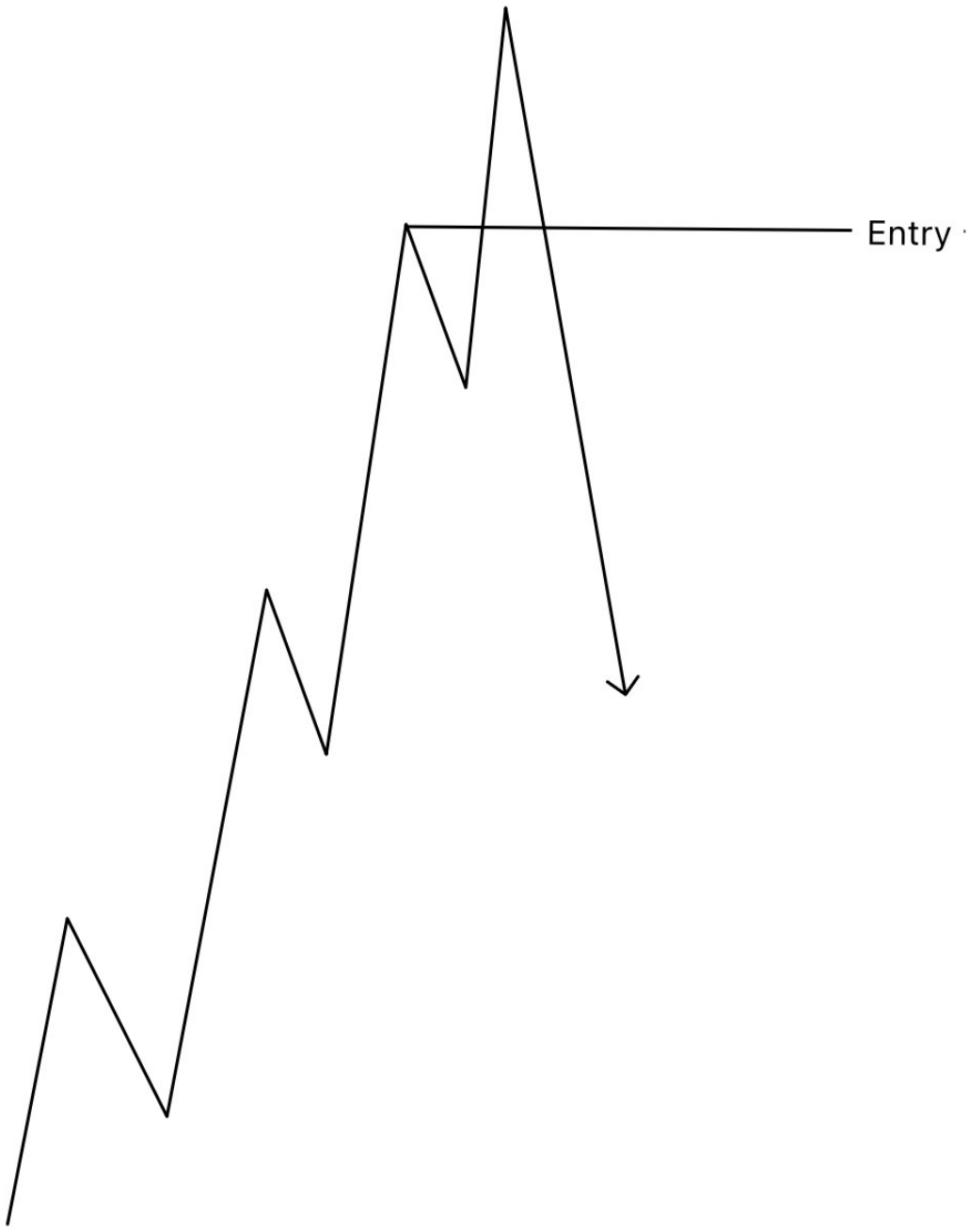
We want to see a valid candlestick-body breakout before treating the violation as a meaningful structural event.
And even after the structure has been broken, we do not blindly enter.
We observe.
We wait.
We allow the market to show us what it wants to do.
Because in APA, structure comes first.
Once you understand the structure, you can begin looking for the Point of Interest where the next opportunity may form.
Structure → Break → Observation → Point of Interest
That is the foundation.

APA
THE MICHAEL FXDGOAT METHOD
CHAPTER TWO
POINT OF INTEREST (POI)
After understanding market structure, the next thing an APA trader must learn is how to identify the Point of Interest (POI).
A Point of Interest is the specific area within the market structure where we begin looking for our trade execution after the market has given us the structural information required by the APA strategy.
In APA, there are two major types of Point of Interest models:
Invalidation Level
Double Top / Double Bottom Entry Model
Each model has its own way of being identified, marked, and executed.
1. INVALIDATION LEVEL
The first Point of Interest model is the Invalidation Level.

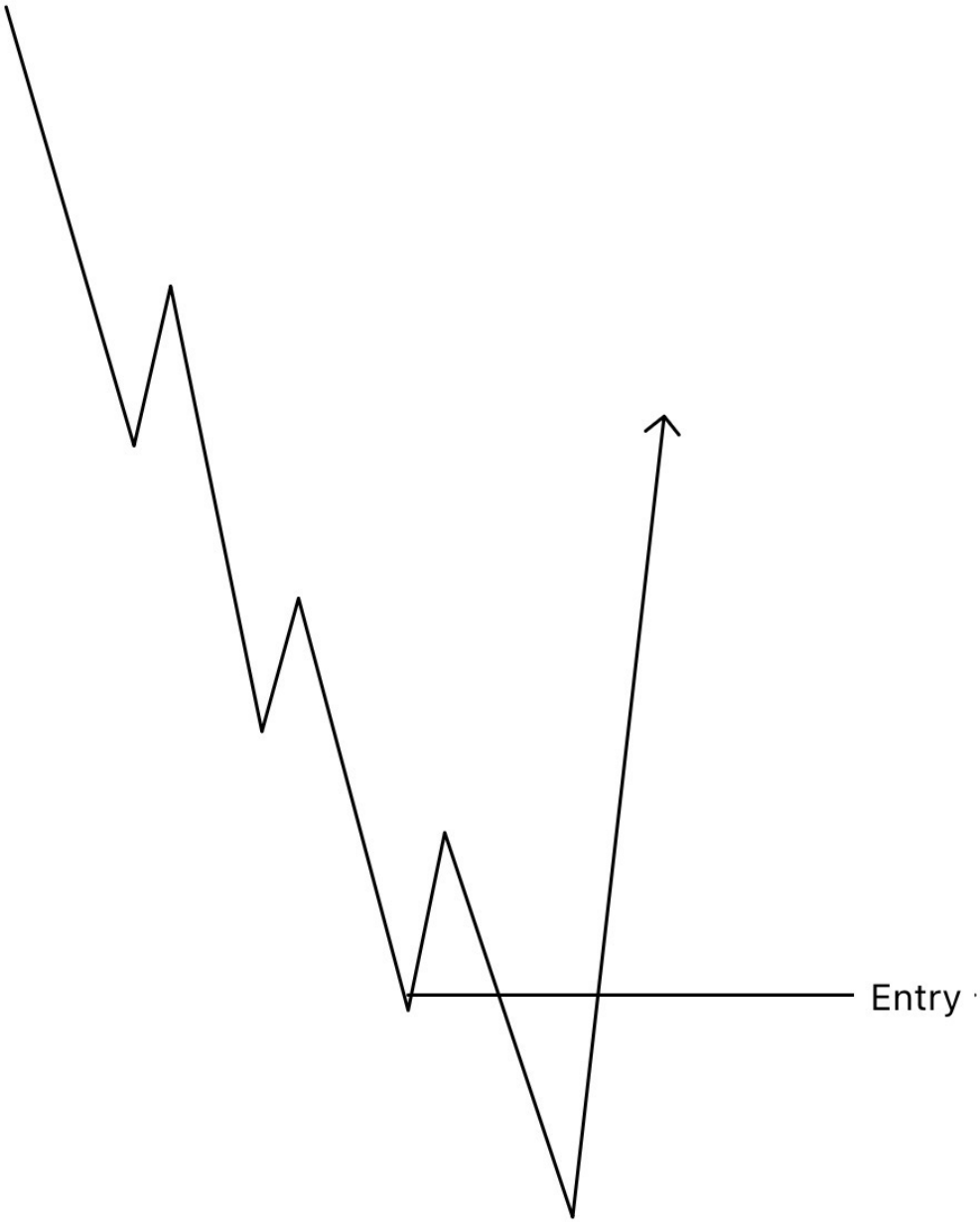
The easiest way to understand the invalidation level is to think about the market in terms of a head-and-shoulder structure.


Head
Shoulder
Entry zone
Violated Retracement zone

When a market has been moving consistently in a particular direction and suddenly begins to violate one or more of its retracement levels, we do not immediately enter the trade.
Instead, we wait for price to return toward the previous shoulder level of the market.
That shoulder level becomes our invalidation level.
This is an important part of APA because the structural break tells us that something has changed, but the invalidation level helps us identify the specific area from which we want to execute the trade.
The Process
For example, imagine that the market has been in a consistent uptrend.
Price continues to respect its retracement levels until eventually one or more retracement levels are violated with a valid breakout.
At this point, we begin looking for a possible sell.
However, we do not simply sell because the retracement has been broken.
We wait for the market to return toward the previous shoulder level.
When price reaches our invalidation level, we then look for our Point of Interest and execution.
The same principle applies in reverse for a downtrend.
HOW TO MARK THE INVALIDATION LEVEL
The way we mark our Point of Interest inside the invalidation level depends on the direction of the trade.
FOR A SELL


Entry

When looking for a sell, we mark the top side of the candlestick body.
We then use the wick at the shoulder level as our SL.
FOR A BUY


Entry

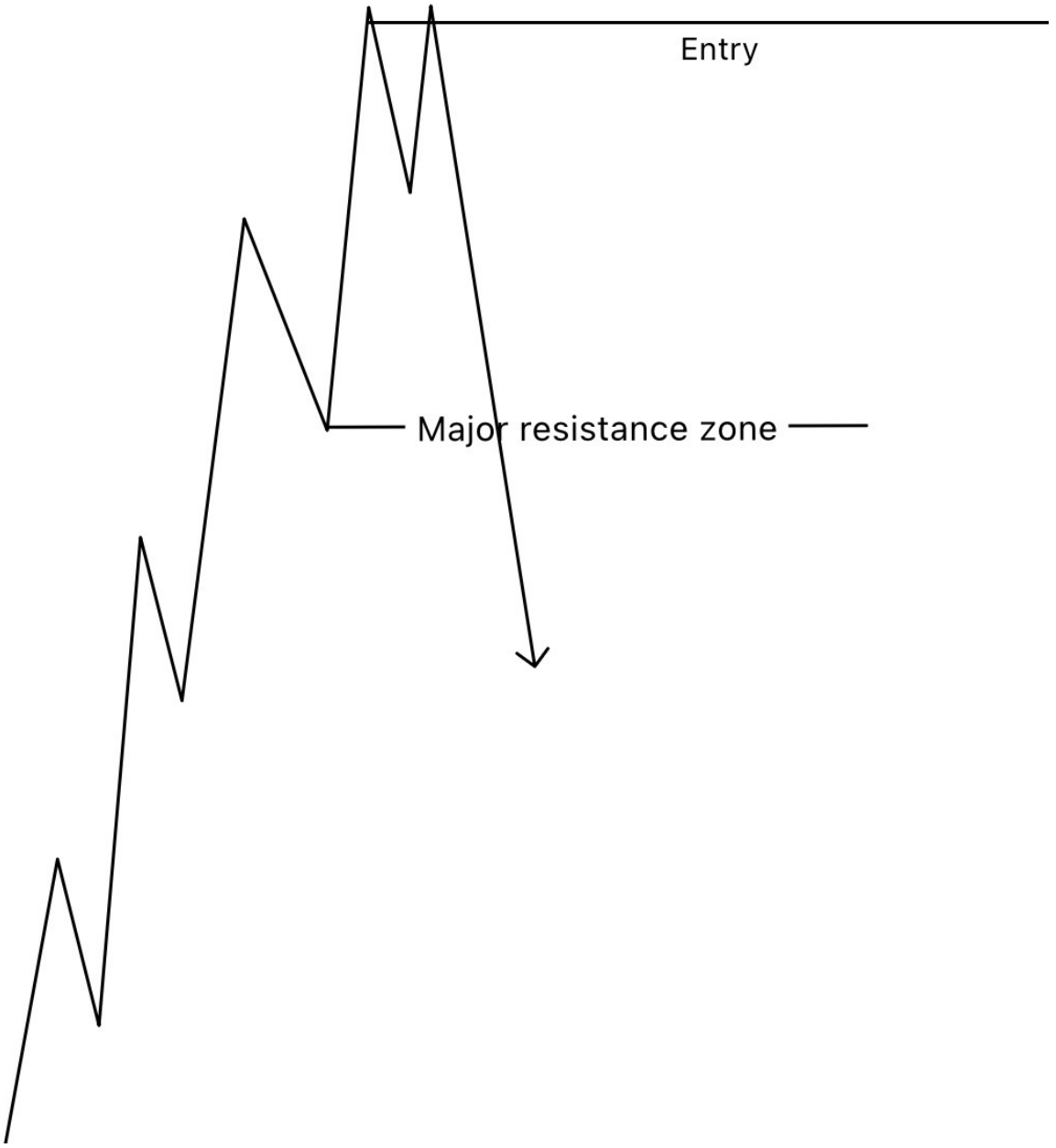
When looking for a buy, we mark the downside of the candlestick body.
We then use the wick at the shoulder level as our SL.
This gives us the area from which the APA trade is executed while keeping the invalidation level clearly defined.
WHEN THE HEAD AND SHOULDER ARE VERY CLOSE
Sometimes the head and shoulder of the structure are very close to each other.
When this happens, there may not be enough meaningful separation to create a different execution zone.
In such a situation, we can simply use the head-and-shoulder level itself as the EL.
The idea remains the same:
The head becomes the area associated with the trade direction, while the shoulder level remains our entry area.
This allows the trader to avoid unnecessarily complicating the setup when the structural points are extremely close together.
INVALIDATION X
The second type of invalidation setup is what we call Invalidation X.
Invalidation X can be understood as a mitigated invalidation zone.
To understand this properly, first understand what happens with a normal invalidation.
The market gives us a very good invalidation level. Price eventually returns to that level and gives us the opportunity to execute.
But sometimes the market does something different.
Price gives us a very good invalidation level, returns to it, and touches or mitigates that level before the setup we want to execute has properly formed.
The market then comes back again.

This creates what we call an Invalidation X.
The important thing is that the original invalidation level remains our entry point.
However, the area that has already been mitigated becomes our SL area.
Therefore:
Invalidation X is an invalidation zone that has already been mitigated before the market returns for another interaction with the setup.
The distinction between normal invalidation and Invalidation X is therefore important because the market has already interacted with the original invalidation zone.
NORMAL INVALIDATION VS. INVALIDATION X
NORMAL INVALIDATION
The market creates the structural setup → returns to the invalidation level → we execute from the identified POI.
INVALIDATION X
The market creates the invalidation setup → the invalidation area is already mitigated → price returns again → the mitigated area becomes our SL area while the original invalidation level remains our entry.
This is why the trader must pay attention not only to where the invalidation level is located, but also to whether the market has already interacted with that zone.
Examples of trade I took using invalidation levels

2. DOUBLE TOP / DOUBLE BOTTOM ENTRY MODEL

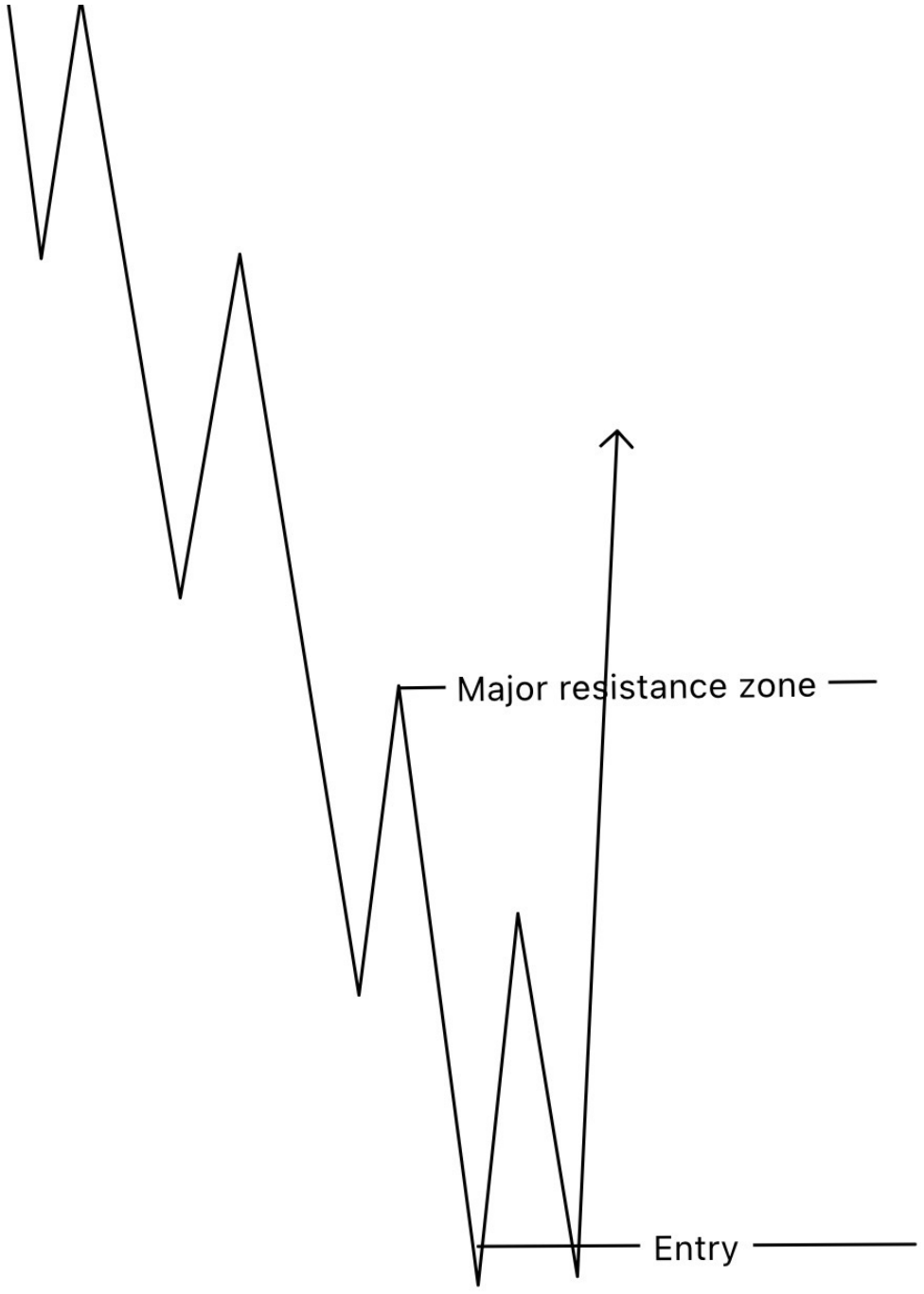
The second major APA Point of Interest model is the Double Top

and Double Bottom Entry Model.
This model is based on the market creating an equal or nearly equal high or low before producing a valid structural breakout.
There are two sides to this model:
Double Top
Double Bottom
DOUBLE TOP
A Double Top occurs when the market has been moving consistently in a trend and then creates two highs at approximately the same level.
However, simply seeing two highs does not automatically give us a valid APA setup.
The market must first give us the necessary structural break.
If price creates a double high and then breaks the relevant retracement structure, we begin taking our Point of Interest from the double high.
The double high becomes the important area from which we prepare our trade.
How we mark the Double Top
For a sell setup, we mark from the top side of the candlestick body.
The relevant wick is then used as the EL.
This creates our execution zone around the double-top structure.
THE DOUBLE TOP MUST HAVE A VALID BREAK



This is extremely important.
A market creating a double high by itself does not make it a valid APA Double Top setup.
The market must produce a valid structural breakout.
If price only breaks the double high but does not break a meaningful retracement level, we do not treat the setup as a valid

Point of Interest.
The market must show enough structural evidence to confirm that the setup is meaningful.
Therefore, we are not simply looking for:
Double High → Sell
We are looking for:
Trend → Double High → Valid Structural Break → Double Top POI → Execution
The structural break remains a critical part of the setup.
DOUBLE BOTTOM



The Double Bottom is the opposite of the Double Top.
If the market has been moving consistently downward and eventually creates two lows at approximately the same level, we

begin watching for a possible Double Bottom setup.
But again, the equal lows alone are not enough.
The market must produce a valid break of the relevant retracement structure.
Once that happens, we can identify our Point of Interest from the Double Bottom.
HOW TO MARK THE DOUBLE BOTTOM
For a buy setup, we mark from the downside of the candlestick body.
The wick created on the downside is then used as our SL.
The upper side of the structure may contain different wick levels.
When this happens, we do not need to treat every individual wick as a separate level.
Instead, we use the highest relevant wick to ensure that the zone covers the necessary structure.
The goal is to create a clear execution and risk area around the Double Bottom.
THE IMPORTANCE OF THE BODY
The same principle we learned in the Structure chapter continues to apply here.
The breakout must be based on a valid candlestick-body breakout, not merely a wick.
A wick can simply represent the market taking liquidity.
Therefore, we do not build our Point of Interest around a structural assumption that has only been created by a temporary wick.
We want the market to demonstrate genuine structural movement.
This gives us greater confidence that the Double Top or Double Bottom is actually part of a developing change in market behavior.
TAKE PROFIT
Once the APA Point of Interest has been identified and the trade has been executed, we need to know where we are aiming.

In APA, our Take Profit (TP) is based on the market's swing structure.
For a buy, we aim for the relevant swing high.
For a sell, we aim for the relevant swing low.
This principle applies to both major Point of Interest models:
Invalidation Level
Double Top / Double Bottom Entry Model
The market structure gives us the destination we are targeting.
THE COMPLETE APA POI FRAMEWORK
The Point of Interest aspect of APA can therefore be understood through two major models.
MODEL ONE — INVALIDATION
Structural Break → Previous Shoulder → Invalidation Level → POI → Entry
Within the invalidation model, we have:
Normal Invalidation
The market creates the invalidation level and returns to it for execution.
Invalidation X
The invalidation area has already been mitigated, and the market returns for another interaction. The mitigated area becomes relevant to our SL while the original invalidation level remains our entry.
MODEL TWO — DOUBLE TOP / DOUBLE BOTTOM
Double Top
Consistent Trend → Double High → Valid Structural Break → Double Top POI → Sell
Double Bottom
Consistent Trend → Double Low → Valid Structural Break → Double Bottom POI → Buy
In both cases, the breakout must be validated by the candlestick

body, not merely by a wick.

THE APA POI RULE

The Point of Interest is not something we randomly choose from a chart.

It is produced by the structure of the market.

First, understand the structure.

Then identify the structural violation.

Then determine which APA Point of Interest model the market is presenting.

From there, mark the appropriate zone, define your EL/SL, execute according to the setup, and aim for the relevant swing point.

Structure tells you what the market is doing.

The Point of Interest tells you where to pay attention.

Execution comes after the market gives you the conditions you are looking for.

This is the foundation of the APA Point of Interest model.

CHAPTER THREE

TOP-DOWN ANALYSIS

Introduction

A good trade does not begin from the entry timeframe.

Before looking for an entry, a trader needs to understand what the market is doing from a broader perspective. This is where Top-Down Analysis comes in.

Top-down analysis is the process of starting from the higher timeframes to understand the broader market environment and

then moving down to the smaller timeframes to develop a structural outlook and eventually search for an execution.

The purpose is simple:

Understand the bigger picture first, then use the lower timeframe to find the opportunity.

In APA, top-down analysis helps us avoid taking trades blindly from a small timeframe while ignoring what is happening on the higher timeframe.

3.1 THE APA TOP-DOWN TIMEFRAME MODEL

For a proper analysis, we divide our timeframes into two major categories:

Higher Timeframe Analysis

The higher timeframe is used to understand the broader market environment.

The main timeframes I use are:

Daily

4-Hour (4H)

1-Hour (1H)

These timeframes help us identify the overall direction, important liquidity levels, major trendline patterns, and the general condition of the market.

Structural Outlook

After understanding the higher timeframe, we move down to the structural timeframes:

30-Minute (30M)

15-Minute (15M)

Sometimes 5-Minute (5M)

These lower timeframes help us understand how the market is behaving inside the bigger picture.

The important thing to understand is that the lower timeframe does not replace the higher timeframe.

Instead:
The higher timeframe gives you the context. The lower timeframe gives you the structure and opportunity.

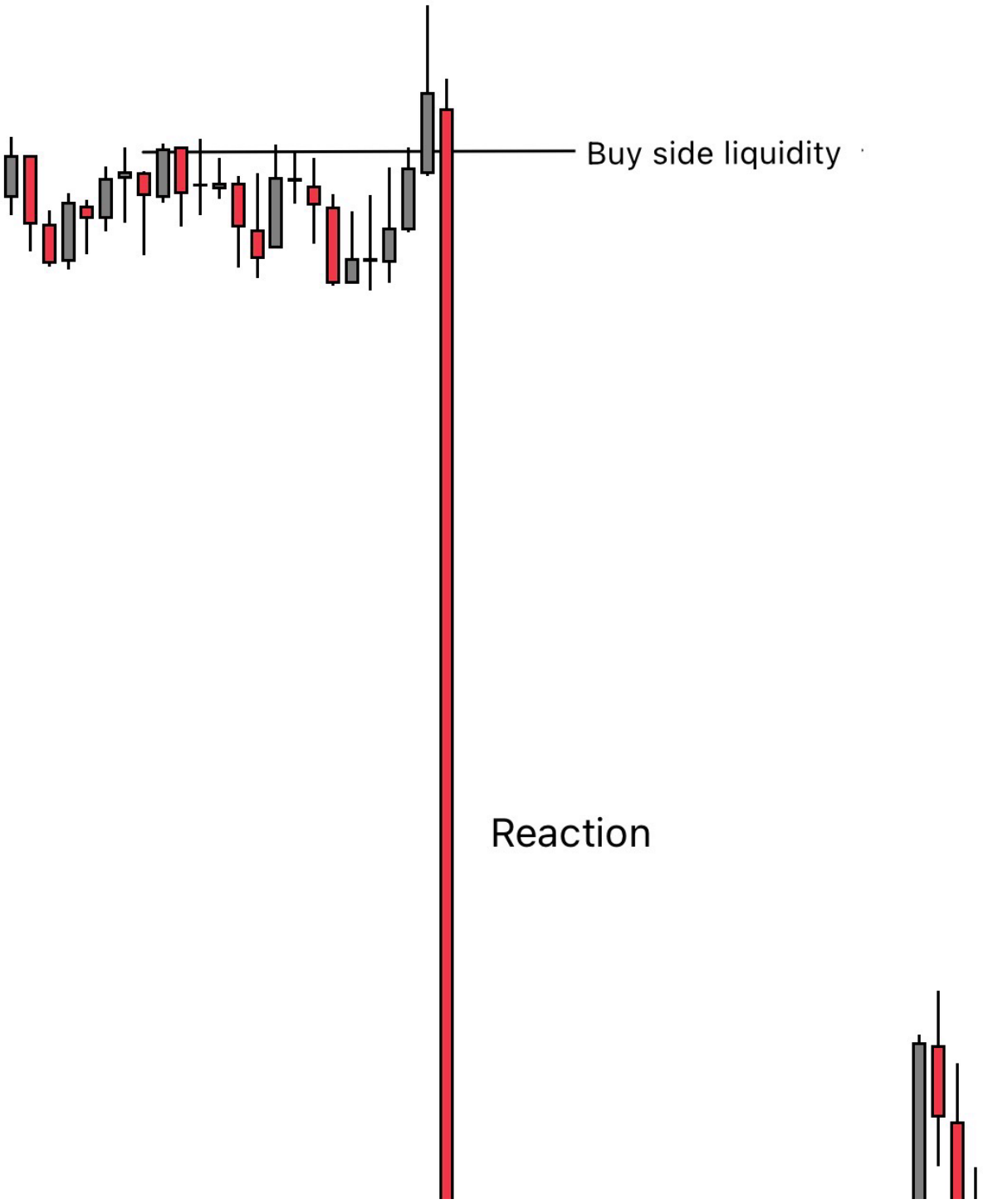
3.2 WHAT DO WE USE FOR TOP-DOWN ANALYSIS?

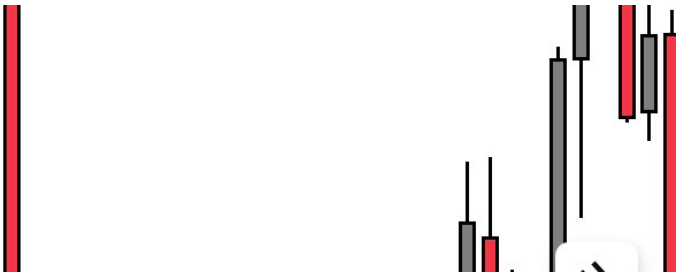
In APA, there are two major things I pay attention to when performing top-down analysis:
Trendline Patterns
Liquidity Levels
These two concepts help us understand where the market may be heading and, more importantly, where the market may react.
However, the way liquidity is interpreted in APA is important.

3.3 APA LIQUIDITY ANALYSIS

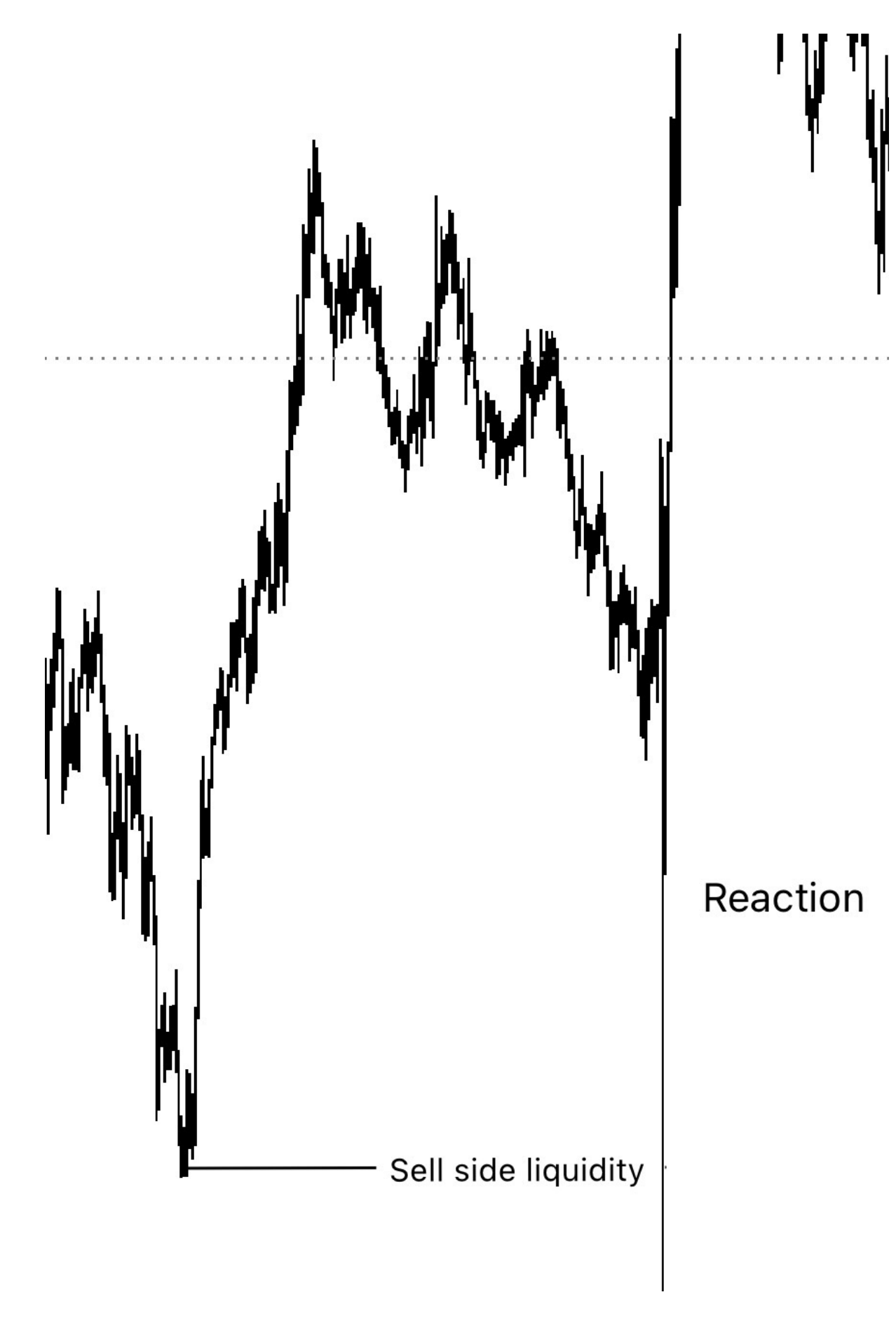
Many traders are familiar with what is commonly referred to as structural liquidity.
However, APA does not focus primarily on structural liquidity.
Instead, we pay more attention to:
Buy-Side Liquidity
Sell-Side Liquidity
Understanding these two concepts is extremely important because the market can move toward a liquidity level, take that liquidity, and then reveal its intention through the reaction that follows.

3.4 BUY-SIDE LIQUIDITY


Buy side liquidity
Reaction



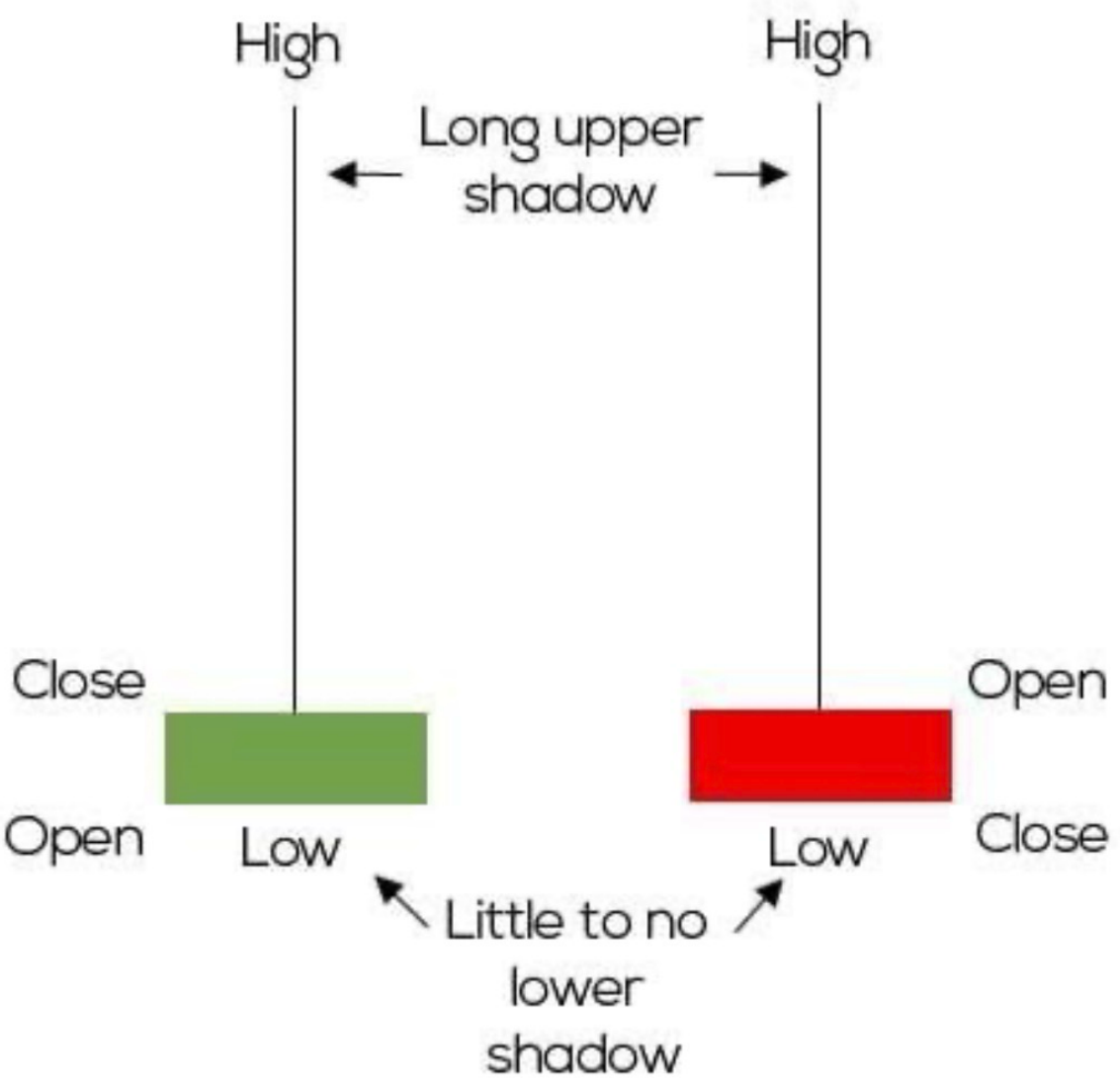
Buy-side liquidity is liquidity sitting above a significant high.
For example, imagine that the market has been ranging for some time on the 4H timeframe.
Eventually, price breaks above the upper boundary of that range.
At first glance, a trader may immediately assume:
“The market has broken upward, so I should buy.”
But APA does not encourage us to react to the breakout alone.
We observe what happens after the liquidity is taken.
If price moves above the previous high, takes the liquidity sitting above it, and then quickly rejects that level, this can be an important sign that the market may return back into the previous range.
The rejection becomes important because the market has not simply broken the level and continued.
It has:
Taken liquidity → Rejected the level → Shown a possible change in direction.
This is the type of reaction we pay attention to during top-down analysis.
3.5 SELL-SIDE LIQUIDITY


Reaction
Sell side liquidity

The same concept applies to sell-side liquidity.
Sell-side liquidity is liquidity sitting below a significant low.
For example, suppose the market is ranging and price suddenly breaks below the lower boundary.
A trader may immediately assume that the market is going to continue downward.
But once again, APA requires us to observe the reaction.
If price takes the liquidity below the low and then quickly rejects the level, this can indicate that the market may move back upward.
Therefore, we are not interested simply because a high or low has been broken.
We want to know:
What happened after the liquidity was taken?
That reaction is extremely important.

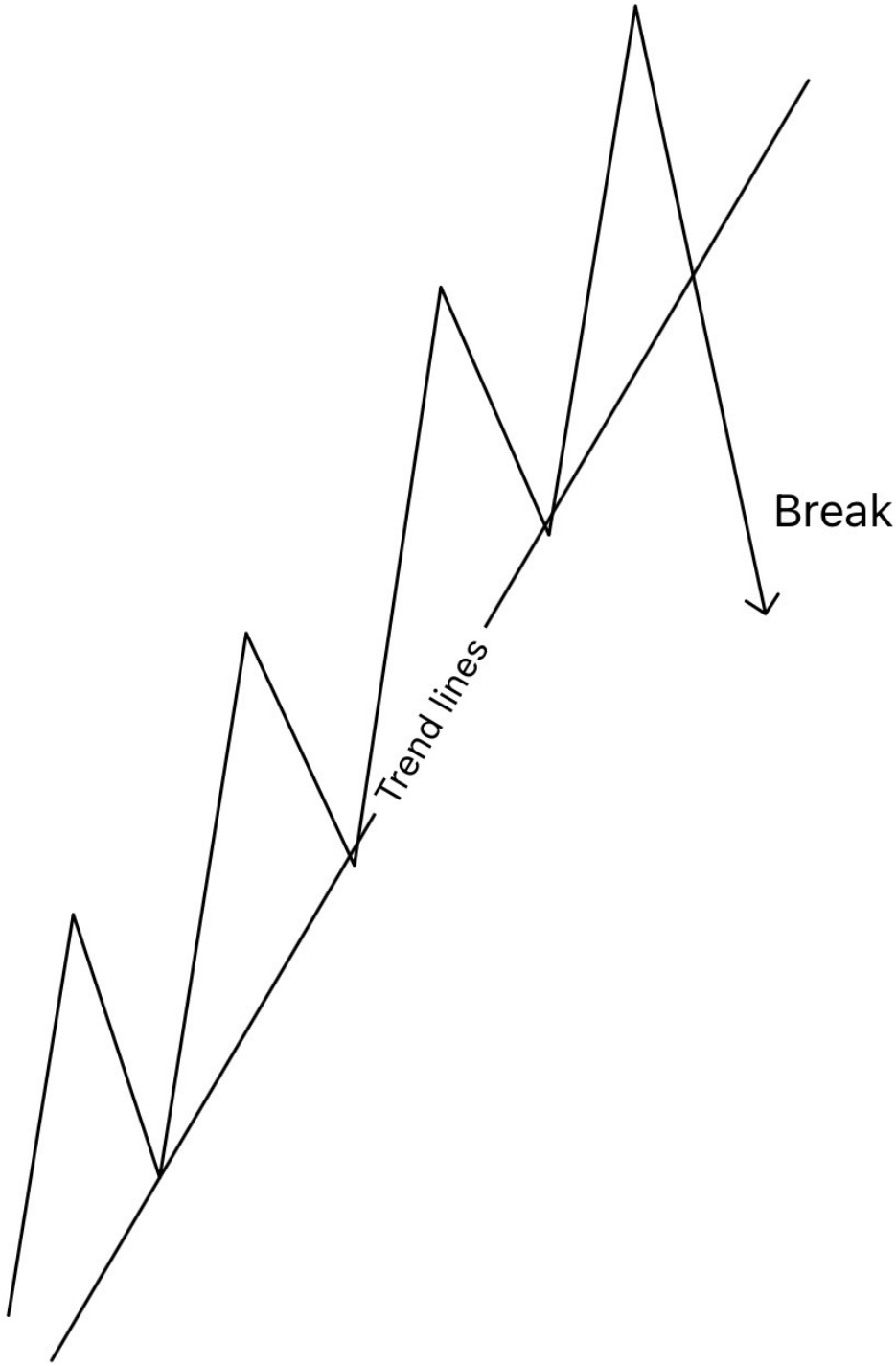
3.6 THE IMPORTANCE OF THE REJECTION CANDLESTICK

One of the ways we identify a potentially active liquidity level is through a quick rejection candlestick after liquidity has been taken.
A rejection candle can appear in different forms.
Depending on the market and the exact structure, it may resemble:



A lollipop-style candle
A Doji
A shooting star
A candle with a long rejection wick
Or another candlestick formation that clearly shows a rapid rejection of the level
The exact name of the candlestick is not the most important thing. The reaction is.
We want to see price take the liquidity and then quickly reject that

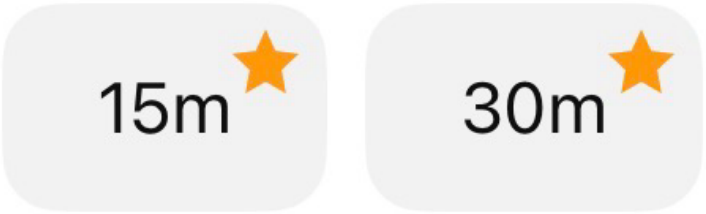
area.
This tells us that the liquidity level is not simply a random price level. It has produced a meaningful reaction from the market.
3.7 LIQUIDITY IS NOT AN AUTOMATIC ENTRY
This is a very important distinction.
When the market takes buy-side or sell-side liquidity and rejects it, that does not mean we immediately enter a trade.
The liquidity event gives us information.
It tells us that the market has interacted with an important level and that there may be a reaction.
From there, we still need to use our structural outlook and our APA Point of Interest to determine where and how we want to execute.
Therefore:
Liquidity gives us information. Structure gives us direction. POI gives us the area of interest. Execution comes after the required conditions are present.
This keeps us from entering simply because we saw a wick or a rejection candle.
3.8 TRENDLINE PATTERNS
The second major component of APA top-down analysis is the trendline pattern.
Trendlines help us understand the direction in which the market has been moving.
For example, if the market has been consistently respecting an upward trendline, we can use that trendline as part of our higher-timeframe analysis.
But we do not assume that the trend will continue forever.
We pay attention to what happens when that trendline is broken.
3.9 TRENDLINE BREAK AND OPPOSITE DIRECTION


Break
Trend lines

Suppose the market has been in a bullish trend on the higher timeframe.
As long as the bullish trendline remains respected, we can continue to recognize the bullish environment.
However, if the market eventually breaks that bullish trendline to the downside, our perspective changes.
We do not continue looking for buys simply because the market was previously bullish.
Instead, we begin looking for the possibility of sells on the smaller timeframes.
The same principle applies in a bearish market.
If the market has been respecting a bearish trendline and eventually breaks that trendline to the upside, we begin paying attention to potential buying opportunities on the lower timeframe.
This is how top-down analysis allows us to transition from one market condition to another.

3.10 HIGHER TIMEFRAME → LOWER TIMEFRAME

This is the core of the APA top-down process.
Imagine that the 4H timeframe shows a bullish trend.
Then, something changes.
The bullish trendline is broken to the downside.
Instead of immediately selling on the 4H chart, we move down to our structural timeframe.
We can now begin observing the:
30M → 15M → 5M



timeframes.
Our goal is to see whether the lower timeframe begins developing the conditions necessary for a sell.
The higher timeframe gave us the reason to start paying attention to sells.
The lower timeframe helps us find where and how to execute.
This distinction is extremely important.

3.11 THE COMPLETE APA TOP-DOWN PROCESS

A simple way to understand the entire process is:
STEP 1 — START WITH THE HIGHER TIMEFRAME
Begin with the:
Daily → 4H → 1H
Use these timeframes to understand the broader market environment.
Ask:
What is the market doing?
Is it trending or ranging?
Where is the important liquidity?
Is there a clear trendline pattern?
Has anything important been broken?

STEP 2 — IDENTIFY LIQUIDITY
Look for important:
Buy-side liquidity
and
Sell-side liquidity.
Pay particular attention when price takes one of these liquidity levels and produces a quick rejection.
STEP 3 — STUDY THE TRENDLINE
Look at the higher-timeframe trendline pattern.
If the trendline remains respected, continue monitoring the existing direction.
If the trendline is broken, begin considering the possibility of the opposite direction.
STEP 4 — MOVE TO THE STRUCTURAL TIMEFRAME
After developing the higher-timeframe outlook, move down to:
30M → 15M → sometimes 5M.
Now you are looking for the structural behavior that supports the higher-timeframe idea.
STEP 5 — WAIT FOR YOUR APA CONDITIONS
Do not enter simply because:
liquidity was taken,
a trendline was broken,
or a rejection candle appeared.
Those events are part of the analysis.
You still need your structure and Point of Interest before looking for execution.
3.12 AN EXAMPLE OF APA TOP-DOWN ANALYSIS
Imagine the 4H market has been ranging.
Price eventually pushes above the range high.
The breakout takes the buy-side liquidity above the range.
Instead of continuing upward, price quickly rejects the level.

Now we have important information.
The market has:
Broken the range high → Taken buy-side liquidity → Rejected the level.
We do not immediately sell.
Instead, we move down to the structural timeframe.
We observe the 30M, 15M, or 5M timeframe for the market to reveal its next structure.
If the lower timeframe begins developing the conditions required by APA, we can then locate our Point of Interest and prepare for execution.
This is a much more controlled approach than simply selling because a candle rejected a high.

3.13 WHY TOP-DOWN ANALYSIS MATTERS

One of the biggest mistakes traders make is becoming too focused on their entry timeframe.
For example, a trader may see a beautiful setup on the 5M chart and immediately enter.
But what if the 4H market is approaching major buy-side liquidity?
What if the 4H trendline has just broken?
What if the broader market is transitioning into a completely different direction?
The small timeframe alone cannot always provide that context.
This is why APA starts from the top.
We want to understand the market before we attempt to trade it.

3.14 THE APA HIERARCHY

Always remember this hierarchy:
Higher Timeframe
Daily / 4H / 1H
Gives you the bigger picture.
Structural Timeframe

30M / 15M / 5M
Gives you the structural outlook.
Point of Interest
APA POI
Gives you the area to pay attention to.
Execution
Your entry is taken only after the required conditions are present.
So the process becomes:
Higher Timeframe → Liquidity & Trendline → Structural Outlook → POI → Execution
3.15 THE GOLDEN RULE OF APA TOP-DOWN ANALYSIS
Do not allow a small timeframe to make you forget the bigger picture.
A 5-minute setup may look perfect, but if you do not understand what is happening on the higher timeframe, you are trading with incomplete information.
Top-down analysis is therefore not about predicting exactly where the market will go.
It is about building a clear framework for understanding where the market is, what it has done, and what conditions could create the next opportunity.
Start from the top. Understand the liquidity. Read the trendline. Move down to structure. Find your POI. Then execute.
That is the APA approach to Top-Down Analysis.

Chapter 4 psychology talk



a very important and vital information that is expected to be known to all traders because he got no strategy a point of interest structure, but having a bad psychology, ruined all your trading knowledge

Overtrading and how to overcome it in my own terms of experience, I will say overtrading came from the place of boredom and and overcome gets by doing something else so I try using order stuff to take off my mind from overtrading or always been on the shots easy gaming or chatting with all trade that's outside

Number 2 FOMO

How to overcome the fear of missing out, which is FOMO if you are consistent on taking only an A+ setup, you have from AP strategy you won't be getting the fear of missing out because you know that

yes, you are taking only a very good particular trip so do not over trade and you stop getting the fear of missing out

How to stack up funds through trading 2026 try investing something outside trading once you have hit up to a certain amount of money that was what works for me so that even if you lose your whole CAPITAL trying to share something bigger, you know that you have something to fall onto so you can always fund your account.

Written by MFX